

on September 9, adding that the G20 presidency will lend its support to the IMF and FSB.

“The recent acknowledgement of much needed regulatory framework for AI and crypto will instil confidence among the masses that have already adopted some forms of AI or Web 3.0 in their lives,” says Shivam Thakral, CEO of BuyUcoin, a digital asset exchange.

WHAT THE FUTURE HOLDS

While the volume of crypto trading may have plunged in India, the founders of crypto exchanges haven’t lost hope. “Bitcoin is far from dead and continues to be at the heart of the crypto ecosystem.

Equalisation Levy in India. Having paid that, their income is exempt from tax in India,” says Sawana.

Subburaj concedes that this is a concern. “However, we believe that the Government of India is aware of this issue and is taking measures to address it. With the imposition of TDS compliance on consumers of international exchanges, there is an increased expectation for compliance realisation among these consumers,” says Subburaj.

Separately, RBI launched the Central Bank Digital Currency (CBDC), a digital version of the sovereign currency. Based on blockchain, CBDC is expected to make cross-border transactions easier in

platform Polygon, who has relocated to Dubai, has been actively utilising blockchain technology for real-world applications. Furthermore, the government has recommended blockchain technology for Covid-19 certificates, degree certificates, supply chain management, and other applications, showcasing the continued potential and value of blockchain in various domains.

While the government is not against blockchain, it intends to be strict with crypto assets given their volatile nature, say experts. This is because crypto exchanges operate on a high-risk business model, heavily influenced by the liquidity

A PAPER BY THE FINANCIAL STABILITY BOARD AND IMF SAYS CROSS-BORDER PAYMENTS VIA CRYPTOCURRENCIES HAVE CREATED A CHALLENGE FOR REGULATORS. BUT, IT SAYS BLANKET BANS WOULD NOT WORK

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Its prices have demonstrated resilience. Looking ahead, we believe Bitcoin’s prospects remain positive,” says Subburaj of Giottus.

However, the prospects for the exchanges might not improve even if there is a rally, say experts. This is because crypto traders already prefer to trade on global exchanges mainly because of the tax advantage they receive. “Global exchanges operate outside India. No business operation is undertaken in the country. Thus, the income of global exchanges may not be taxable in India. In such a case, they need not follow TDS guidelines. However, global exchanges are liable to pay

the long run. Currently, it is used for domestic transactions and is a digital version of physical money. Will CBDC compete with crypto?

No, says Gupta of CoinCX. “It is important to recognise that CBDCs and crypto offer different value propositions for users. CBDCs are a digital representation of traditional fiat currency issued and regulated by the central bank. Crypto, however, is an asset class and not legal tender. Both CBDCs and crypto will function in parallel and neither one can replace the other,” he says.

Meanwhile, the blockchain space remains vibrant. Sandeep Nailwal, Co-founder of blockchain

of crypto assets and other market factors. “The earlier enthusiasm amongst countries about crypto—they believed that it is a great innovation—is now completely muted... Everybody realised that there are huge risks. So, there is a great amount of caution and concern around cryptocurrencies,” RBI Governor Shaktikanta Das said after the Third G20 Finance Ministers and Central Bank Governors meeting in Gandhinagar recently. Das’s statement sums up the mood. The founders of crypto exchanges are looking at a challenging future. **BT**

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